

Indian Railway Finance Corporation Ltd

Investment Rating : Excellent

Company Overview

Website	https://irfc.co.in/
Sector	nan
Market Cap	2,618,348.58 Cr
PE Ratio	9.81
PB Ratio	3.91
Dividend Yield	2.82 %

Financial Quality

ROE	13.7
ROCE	5.73
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Growth Focused

Capital Allocation

Capital Score	95.0
Reinvestment	Low Reinvestment
Debt Trend	Deleveraging
Leverage	Very High

Business Overview

Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

Strengths

Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

Debt-to-equity ratio of 8.38 is elevated for a non-financial company and warrants monitoring.
Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations.

Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
Net debt exceeding three times operating profit indicates elevated financial leverage.